

Effective Labor Rate — Revenue Recovery

What an hour at \$169 instead of \$139 brings back.

INPUTS

PRODUCTIVE TECHS 9	BILLED HRS / TECH / WEEK 32	WORKING WEEKS / YEAR 50
CURRENT RATE \$139	PROPOSED RATE \$169	ANNUAL BILLED HOURS 14,400

REVENUE RECOVERY — SAME WRENCHES, SAME BAYS		
ADDED / MONTH \$36,000	ADDED / YEAR \$432,000	ADDED MARGIN ~100%

Current revenue @ \$139 (14,400 hrs)	\$2,001,600
Proposed revenue @ \$169	\$2,433,600
Recovered gross margin / year	+ \$432,000

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

DELTA = billed_hrs × (proposed – current). All currency computed in integer cents. Replace inputs with live shop data before commitment.

Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

COST / LOCATION / MONTH

\$500

LOCATIONS

3

SYSTEM COST / MONTH

\$1,500

PRODUCTIVE TECHS

9

LOST HRS / TECH / WEEK

1.0

LABOR RATE · WEEKS

\$139 · 52**IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH**

DAYS TO PAYBACK

8.3

RETURN / \$1 SPENT

\$3.61

BREAK-EVEN

10.8 hrs/mo

Recovered unbilled labor / year

+ \$65,052

Tekmetric system cost / year

− \$18,000**Net annual gain****+ \$47,052**

BOTTOM LINE

Paper got the shops this far — a system captures the work paper can't, and pays for itself by the 9th. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.

labor = techs × lost_hrs × weeks × rate · days = (monthly cost ÷ monthly recovery) × 30. Conservative defaults — push lost-hours up to your real number and payback drops.

Shop Supplies Fee — Margin & Goodwill

Recover consumables invisibly while giving away the \$3 top-offs.

INPUTS

REPAIR ORDERS / MONTH 600	AVG LABOR / RO \$450	CONSUMABLES / RO \$12
FEE — % OF LABOR 7.0%	HARD CAP / RO \$40	BREAK-EVEN FEE % 2.7%

NET MARGIN AFTER RECOVERING CONSUMABLES COST		
NET / REPAIR ORDER \$19.50	NET / MONTH \$11,700	NET / YEAR \$140,400

Fee charged / RO (7% of \$450, under cap)	\$31.50
Consumables cost recovered / RO	– \$12.00
Net margin / RO	+ \$19.50

BOTTOM LINE

A small structural fee protects the margin and the relationship at the same time. Zero capital, live this week.

charged = min(round(labor × bp ÷ 10000), cap). PA compliance: the shop-supplies fee must be disclosed and itemized as its own line.